

City of Ottumwa
Notes to Basic Financial Statements

NOTE 6 - LONG-TERM DEBT (CONTINUED)

B. General Obligation Bonds and Notes and Revenue Notes

A summary of the annual general obligation bond/note principal and interest requirements to maturity by year is as follows:

Year Ending June 30,	Governmental Activities					
	General Obligation Bonds		General Obligation Notes		Total	
	Principal	Interest	Principal	Interest	Principal	Interest
2026	\$ 1,521,895	\$ 339,627	\$ 265,000	\$ 238,362	\$ 1,786,895	\$ 577,989
2027	1,061,895	298,282	265,000	232,008	1,326,895	530,290
2028	256,895	266,147	715,000	225,382	971,895	491,529
2029	696,046	257,922	730,000	209,447	1,426,046	467,369
2030	656,530	223,220	960,000	192,774	1,616,530	415,994
2031-2035	3,282,650	663,096	4,055,000	629,918	7,337,650	1,293,014
2036-2040	1,297,195	85,739	3,185,000	187,302	4,482,195	273,041
Total	8,773,106	2,134,033	10,175,000	1,915,193	18,948,106	4,049,226
Net unamortized bond premium/(discount)	392,063	-	269,801	-	661,864	-
Total	<u>\$ 9,165,169</u>	<u>\$ 2,134,033</u>	<u>\$ 10,444,801</u>	<u>\$ 1,915,193</u>	<u>\$ 19,609,970</u>	<u>\$ 4,049,226</u>
Year Ending June 30,	Business-Type Activities					
	General Obligation Bonds and Notes		Revenue Notes		Total	
	Principal	Interest	Principal	Interest	Principal	Interest
2026	\$ 932,105	\$ 381,083	\$ 467,000	\$ 109,593	\$ 1,399,105	\$ 490,676
2027	753,105	345,350	476,000	103,211	1,229,105	448,561
2028	784,105	340,185	488,000	96,681	1,272,105	436,866
2029	848,954	287,038	500,000	89,961	1,348,954	376,999
2030	553,470	254,280	513,000	83,051	1,066,470	337,331
2031-2035	3,107,350	917,204	2,559,000	304,575	5,666,350	1,221,779
2036-2040	3,550,776	321,717	1,933,000	122,500	5,483,776	444,217
2041	-	-	283,000	4,953	283,000	4,953
Total	10,529,865	2,846,857	7,219,000	914,525	17,748,865	3,761,382
Net unamortized bond premium/(discount)	782,242	-	-	-	782,242	-
Total	<u>\$ 11,312,107</u>	<u>\$ 2,846,857</u>	<u>\$ 7,219,000</u>	<u>\$ 914,525</u>	<u>\$ 18,531,107</u>	<u>\$ 3,761,382</u>

During the year ended June 30, 2014, Ottumwa Water and Hydro was advanced \$1,000,000 funded with general obligation bonds to assist with financing of water main projects in conjunction with City of Ottumwa street projects. The Ottumwa Water and Hydro has entered into a repayment agreement for the amortized life of the outstanding bonds.

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NOTE 6 - LONG-TERM DEBT (CONTINUED)

C. Lease Agreements (Continued)

On October 20, 2020, the City Of entered into a lease agreement for a postage meter. The agreement requires quarterly payments of \$874 over five years with an estimated implicit rate 0.4570% and final payment due October 20, 2025.

Year Ending June 30,	Leases		
	Principal	Interest	Total
2026	\$ 3,493	\$ 8	\$ 3,501
2027	323	1	324
Total	<u>\$ 3,816</u>	<u>\$ 9</u>	<u>\$ 3,825</u>

NOTE 7 - PENSION PLAN

The City participates in various pension plans. Total pension expense for the year ended June 30, 2025, was \$1,328,954. The components of pension expense are noted in the following plan summaries. The General fund, Sewer Fund and Solid Waste typically liquidate the liability related to pensions.

Iowa Public Employees Retirement Plan

A. Plan Description

IPERS membership is mandatory for employees of the City, except for those covered by another retirement system. Employees of the City are provided with pensions through a cost-sharing multiple employers defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive, P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under *Iowa Code* Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

B. Pension Benefits

A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012, will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.